

AC1100 — Introduction to Accounting

Winter 2025 · Paper 1 · Full Marking Scheme

Module Code	AC1100
Module Title	Introduction to Accounting
Examination Session	Winter 2025
Paper Number	Paper 1
Duration of Paper	1.5 Hours
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Head of School / Department	Prof Michelle Carr
External Examiner	Dr Caroline Linhares

Question	Scenario / Topic	Marks
Question 1 (Compulsory)	O. Peterson Limited — SOPL & SOFP from Trial Balance	40
Question 2	Mingus Limited — Disposal of Machinery & Share Transactions	30
Question 3	Cost of Sales; Users of Financial Statements & Sustainability Reporting	30
Question 4	Tubby Hayes — Bad Debts, Provision for Bad Debts & Accounting Concept	30

Instructions to Candidates (as stated on the paper): Please answer Question 1, Section A and two other questions from Section B. All workings must be shown.

Note on this marking scheme: Numerical parts are marked primarily on correct method and workings, with the **own-figure rule** applied throughout – a correct method applied to an earlier wrong figure is awarded full method marks. Discursive parts are marked on depth of explanation and application. All figures in Question 1 are in €’000 as stated on the paper.

O. Peterson Limited

Total: 40 marks

This compulsory question requires preparation of a full Statement of Profit or Loss and Comprehensive Income and a Statement of Financial Position for a manufacturing company from a trial balance, incorporating eight adjusting notes covering closing inventory, depreciation (buildings and plant), taxation, dividends, and a long-term trade liability classification. All figures are in €'000.

Adjustments Required Before Preparing the Financial Statements

Note	Adjustment
(a)	Closing inventory €13,000 (down from opening €10,000 in TB)
(b)	Buildings depreciation: $\text{€}200,000 \div 50 \text{ years} = \text{€}4,000 \text{ p.a.}$ (land not depreciated)
(c)	Plant depreciation: $\text{€}280,000 \times 10\% \text{ SL} = \text{€}28,000 \text{ p.a.}$
(d)	Taxation DR €10,000 in TB = prior year under-provision (expense in SOPL; already settled)
(e)	Dividends paid €120,000 in TB = equity distributions (not SOPL); €50,000 proposed dividend (note h) disclosed only
(f)	Long-term trade liability €62,000 due 15 months after year end = Non-Current Liability
(g)	Current year tax provision €57,000 → add to SOPL and SOFP current liabilities
(h)	Proposed final dividend €50,000 → not yet approved; disclosed in equity notes only

Question 1**40 marks**

Prepare a Statement of Profit or Loss and Comprehensive Income for O. Peterson Limited for the year ended 30th September 2025 and a Statement of Financial Position as at that date.

Full Model Answer — Statement of Profit or Loss and Comprehensive Income**O. Peterson Limited — for the year ended 30th September 2025 (€'000)**

	Notes	€'000	€'000
Revenue			460
Cost of Sales			
Opening inventory		10	
Purchases		102	
Manufacturing wages		60	
Less: Closing inventory	(a)	(13)	
Cost of Sales			(159)
Gross Profit			301
Advertising		(15)	
Administration salaries		(14)	
Interest paid		(14)	
Audit fees		(7)	
Bad debts		(10)	
Depreciation – buildings	(b)	(4)	
Depreciation – plant	(c)	(28)	
Total operating expenses			(92)
Operating Profit			209
Dividends received	(e)		12
Profit before tax			221
Income tax – current year	(g)	(57)	
Income tax – prior year under-provision	(d)	(10)	
Total tax			(67)
Profit for the year			154

Key workings: Buildings dep: $\text{€}200\text{k} \div 50 = \text{€}4\text{k}$ (land $\text{€}250\text{k}$ is not depreciated). Plant dep: $\text{€}280\text{k} \times 10\% = \text{€}28\text{k}$. Dividends paid $\text{€}120\text{k}$ are an equity distribution – NOT in SOPL. Tax: $\text{€}10\text{k}$ (TB, prior year) + $\text{€}57\text{k}$ (note g) = $\text{€}67\text{k}$. Dividends received $\text{€}12\text{k}$ = investment income, shown below operating profit.

Marks	Criteria
1 per line	Award 1 mark per correctly stated and correctly calculated line item. Key lines: Revenue (460), correct Cost of Sales calculation including manufacturing wages and closing inventory (159), Gross Profit (301), each expense item, both depreciation charges correctly calculated (4 and 28), Dividends received shown as other income (12), correct total tax of 67 (both current and prior year components), Profit for year (154). Deduct marks where dividends paid appear in SOPL rather than equity.
Own-figure	Full method marks awarded where correct calculation is applied to an earlier wrong figure, provided the method is clearly shown.

Full Model Answer — Statement of Financial Position

O. Peterson Limited — as at 30th September 2025 (€'000)

Non-Current Assets			
Asset	Cost	Acc. Dep.	Carrying Amount
Premises (land €250 + buildings €200)	450	44	406
Plant	280	188	92
Investments (long-term)			100
Total Non-Current Assets			598
Current Assets			
Inventory (closing)			13
Receivables			23
Bank			157
Total Current Assets			193
Total Assets			791

Equity and Liabilities	
Item	€'000
Equity	
Share capital	100
Retained earnings (391 + 154 – 120)	425
Total Equity	525
Non-Current Liabilities	
Loan notes	140
Long-term trade liability (due 15 months after year end)	62
Total Non-Current Liabilities	202
Current Liabilities	
Payables	7
Tax payable (current year provision)	57
Total Current Liabilities	64
Total Equity and Liabilities	791

Key workings for SOFP: Premises accumulated dep: 40 (opening) + 4 (current year) = 44. Plant accumulated dep: 160 (opening) + 28 (current year) = 188. Retained earnings: 391 (opening) + 154 (profit) – 120 (dividends paid) = 425. Long-term trade liability (15 months due date) = Non-Current. Tax payable = €57k only (current year provision per note g); the TB €10k prior year tax was an expense already settled. Proposed dividend €50k (note h) = NOT yet a liability; disclosed in equity notes only.

Mark Allocation — SOFP

Marks	Criteria
1 per line	Award 1 mark per correctly stated and correctly calculated line item. Key marks: correct carrying amounts for premises (406) and plant (92) with accumulated depreciation shown; closing inventory 13; long-term trade liability correctly classified as non-current (not current); retained earnings correctly calculated (425); tax payable 57 in current liabilities; SOFP balances at 791.
Classification	1 mark for correctly classifying the long-term trade liability (62) as non-current (15 months > 12 months). If placed in current liabilities, deduct 1 mark.
Own-figure	Full credit where balance sheet is made to balance using own-figure profit and own-figure accumulated depreciation, provided the correct structure is maintained.

QUESTION 1 TOTAL — 40 MARKS

QUESTION 2 — SECTION B

Mingus Limited

Total: 30 marks

This question has two independent issues. Issue 1 tests the disposal of a fixed asset with pro-rata depreciation. Issue 2 tests the accounting treatment of share issuances (ordinary shares at a premium, preference shares) and a dividend declaration.

Parts in this Question

Issue	Requirement	Marks
Issue 1	Calculate the profit or loss on disposal of machinery purchased 1 Jan 2023, sold 31 Dec 2025, SL 10 years, pro-rata monthly	12
Issue 2	Explain and illustrate accounting for: ordinary share issue at premium; preference share issue; dividend declaration	18

Question 2 — Issue 1

12 marks

Mingus Limited purchased machinery at a cost of €500,000 on 1 January 2023. The machinery, depreciated on a straight-line basis over 10 years, was sold on 31 December 2025 for €300,000. Company policy is to provide for depreciation pro rata on a monthly basis. Calculate the profit/loss arising on disposal.

Full Model Answer

Step	Calculation	Amount (€)
Annual depreciation (SL, 10 years)	$500,000 \div 10$	50,000
Monthly depreciation charge	$50,000 \div 12$	4,167
Period held (1 Jan 2023 → 31 Dec 2025)	3 years = 36 months	36 months
Accumulated depreciation at disposal	$4,167 \times 36 \text{ months}$	150,000
Cost		500,000
Less: Accumulated depreciation		(150,000)
Carrying value at date of disposal		350,000
Sale proceeds received		300,000
Less: Carrying value		(350,000)
Loss on disposal		(50,000)

Reconciliation: 3 full years $\times$ €50,000/year = €150,000 total accumulated depreciation. Since the asset is sold at exactly a year-end date (31 December 2025) and was purchased at exactly a year start (1 January 2023), the pro-rata monthly calculation gives the same result as a whole-year calculation: 36 months $\times$ €4,167 = €150,000. Carrying value €350,000 exceeds proceeds €300,000 → **loss of €50,000** recognised in SOPL.

Mark Allocation — Issue 1

Marks	Criteria
10-12	Correct annual and monthly depreciation charges shown; correct period of 36 months identified; correct accumulated depreciation of €150,000; correct carrying value of €350,000; correct loss on disposal of €50,000 clearly stated; workings shown throughout.
7-9	Correct method and most calculations correct; minor error e.g. in months count or rounding of monthly charge; own-figure rule applied.
4-6	Correct overall disposal framework (cost – accumulated dep = carrying value; carrying value vs proceeds) but errors in depreciation calculation (e.g. wrong period or ignoring pro-rata requirement).
1-3	Some understanding of disposal shown; depreciation concept applied but substantially miscalculated.
0	No meaningful attempt.

Question 2 — Issue 2

18 marks

Explain and illustrate how the share transactions should be accounted for in the financial statements of Mingus Limited for the year ended 31 December 2025: (i) Ordinary share issue at market price €2.50 on 20 February 2025; (ii) Preference share issue on 30 November 2025; (iii) Ordinary dividend declaration on 20 December 2025.

Full Model Answer

(i) Ordinary Share Issue — 20 February 2025

500,000 × €1 ordinary shares issued at market price of €2.50 per share. The nominal value is €1.00; the excess €1.50 per share goes to Share Premium.

Journal Entry	DR (€)	CR (€)
DR Bank (500,000 × €2.50)	1,250,000	
CR Ordinary Share Capital (500,000 × €1.00 nominal)		500,000
CR Share Premium (500,000 × €1.50 excess)		750,000
<i>To record issue of 500,000 €1 ordinary shares at €2.50 per share</i>		

Note: Share capital is always recorded at *nominal (par) value*. The excess of issue price over nominal (€2.50 – €1.00 = €1.50) is credited to Share Premium, a capital reserve. After this issue, ordinary share capital = 600,000 × €1 = €600,000 (confirmed by the 30 November 2025 position stated in the question).

(ii) Preference Share Issue — 30 November 2025

Issued €200,000 5% preference shares. No issue price above par is stated, so assumed at par value.

Journal Entry	DR (€)	CR (€)
DR Bank	200,000	
CR 5% Preference Share Capital		200,000
<i>To record issue of €200,000 5% preference shares at par</i>		

(iii) Ordinary Dividend Declaration — 20 December 2025

Directors declared a dividend of 15 cent per share for the year ended 2025. Ordinary shares in issue = 600,000. Dividend = 600,000 × €0.15 = €90,000.

Journal Entry	DR (€)	CR (€)
DR Retained Earnings / Dividends declared	90,000	
CR Dividends Payable (current liability)		90,000
<i>To record declaration of ordinary dividend of €0.15 per share on 600,000 shares</i>		

Note: The dividend has been *declared* but not yet paid at 31 December 2025. Once declared, it becomes a legal obligation of the company and is recognised as a current liability (Dividends Payable) in the SOFP. It is NOT an expense in the SOPL – dividends are a distribution of profit to owners, not a business expense.

Mark Allocation — Issue 2

Marks	Criteria
16-18	All three transactions correctly journalised with correct amounts; share premium correctly identified and calculated (€750,000); 600,000 shares correctly identified for dividend calculation; €90,000 dividend correctly computed; dividend payable correctly classified as current liability (not expense); explanatory narrations included.
12-15	Two of three transactions fully correct; third has minor error; share premium concept understood and applied.
7-11	One transaction fully correct; share premium concept understood but not correctly applied to issue (i); or all three transactions attempted with errors.
3-6	Some correct elements (e.g. bank debit for cash receipt) but share premium omitted or dividend treatment incorrect (classified as expense).
0-2	No meaningful attempt.

QUESTION 2 TOTAL — 30 MARKS

Cost of Sales & Users of Financial Statements

Total: 30 marks

This question has two parts. Part A is a short knowledge question on Cost of Sales. Part B is an extended discursive question requiring a written briefing on financial statement users, their information needs, whether those needs are being met, and recent developments in sustainability reporting.

Parts in this Question

Part	Requirement	Marks
Part A	State components of Cost of Sales and explain which accounting concept drives its calculation	5
Part B(a)	Who are the users of annual reports and financial statements?	5
Part B(b)	What are their information needs?	5
Part B(c)	Are these needs being met by annual reports? If not, how might this be improved?	7
Part B(d)	Recent developments in Sustainability Reporting	8

Question 3 — Part A**5 marks**

State the component elements of the Cost of Sales calculation and explain which accounting concept influences the need for this calculation.

Full Model Answer**Components of Cost of Sales**

Cost of Sales (CoS) is calculated as: **Opening Inventory + Purchases (+ any direct production costs e.g. manufacturing wages) – Closing Inventory**. It represents the cost of goods that have actually been sold during the period – not merely purchased or manufactured. For a manufacturing company such as O. Peterson Limited, manufacturing wages may also be included within Cost of Sales as they are a direct production cost.

Accounting Concept: Matching (Accruals) Concept

The need to calculate Cost of Sales rather than simply expensing all purchases is driven by the **Matching Concept** (part of the broader Accruals concept under IAS 1). This concept requires that expenses are recognised in the same accounting period as the revenue they helped generate. Closing inventory represents goods purchased or manufactured but *not yet sold*; these have not yet generated revenue and therefore should not be expensed in the current period. By deducting closing inventory from the total goods available for sale, the Cost of Sales figure matches only the costs of goods that generated the current period's sales revenue.

Mark Allocation — Part A

Marks	Criteria
5	Correct components stated (opening inventory + purchases – closing inventory, with any direct production costs); correct identification of the Matching/Accruals concept; clear explanation of why closing inventory is deducted (not yet sold, so not expensed yet).
3-4	Components correctly listed; concept identified but explanation of its application to CoS is underdeveloped.
2	Components partially correct; concept identified without explanation.
1	Only one element correct (either components or concept).
0	No meaningful attempt.

Question 3 — Part B**25 marks**

Write an explanatory briefing for a non-accountant on: (a) who are the users of annual reports and financial statements; (b) what are their information needs; (c) whether these needs are being met and how this might be improved; (d) recent developments in Sustainability Reporting.

Full Model Answer**(a) Users of Annual Reports and Financial Statements (5 marks)**

Financial statements serve a wide range of user groups, each with different relationships to the organisation:

- **Investors and shareholders** – existing and potential owners of the company who need information to make buy/hold/sell decisions and to assess management stewardship.
- **Lenders and creditors** – banks and other debt providers assessing the company's ability to service and repay debt; trade creditors assessing liquidity before extending credit.
- **Employees** – interested in the financial stability of the business, job security, profitability, and the basis for wage negotiations.
- **Customers** – particularly those dependent on the company as a supplier, assessing its long-term viability.
- **Government and regulatory bodies** – tax authorities (Revenue Commissioners in Ireland) use financial statements to assess tax liabilities; regulators assess compliance.
- **Management** – internal users who use detailed financial information for operational decision-making and strategic planning.
- **The public and wider society** – communities affected by the company's activities, increasingly interested in environmental and social impact alongside financial performance.

(b) Information Needs of Users (5 marks)

- **Investors** need information on profitability, earnings per share, dividend policy, growth prospects, and risk profile to assess whether their investment is generating adequate returns.
- **Lenders** need information on cash flow adequacy, solvency (assets vs liabilities), and the ability to meet interest and capital repayments. Gearing ratios and interest cover are particularly relevant.
- **Employees** need information on financial stability, profitability trends, and whether the business can sustain current employment levels and pay structures.
- **Government / Tax authorities** need an accurate picture of taxable income and compliance with financial reporting standards and company law.
- **Customers** need assurance that the company is financially stable enough to continue as a going concern and honour long-term supply commitments.
- **Society** needs information on the company's environmental impact, carbon footprint, supply chain ethics, and broader social contributions – information not always available in traditional financial statements.

(c) Are These Needs Being Met? How Could Reporting Improve? (7 marks)

Traditional annual reports and financial statements meet the needs of *financial* users (investors, lenders, tax authorities) reasonably well – they provide standardised, audited information on profitability, assets, liabilities, and cash flows under internationally recognised frameworks (IFRS/IAS). However, several limitations exist:

- Financial statements are **backward-looking** – they report what has happened, not what will happen. Investors making forward-looking decisions receive limited guidance on future prospects.
- Non-financial stakeholders (employees, communities, society) receive **no information** on social or environmental impact from the financial statements themselves.
- Young (2006) observed that despite financial statement users being accorded great significance by standard-setters, relatively little was known about their actual decision-making needs – standard-setters may have designed disclosures that are technically rigorous but not practically useful to real users.
- **Improvements** could include: mandatory narrative reporting on strategy and risk (already partly required by Companies Act 2014 in Ireland); forward-looking disclosures on expected future performance; integrated reporting that combines financial and non-financial information; and expanded sustainability disclosures covering environmental, social, and governance (ESG) factors.

(d) Recent Developments in Sustainability Reporting (8 marks)

Corporate Sustainability Reporting Directive (CSRD) — EU

The EU's Corporate Sustainability Reporting Directive (CSRD), effective from 2024 onwards (phased implementation), significantly expands sustainability reporting requirements for large EU companies. It replaces the earlier Non-Financial Reporting Directive (NFRD) and requires companies to report detailed information on environmental, social, and governance (ESG) matters using the European Sustainability Reporting Standards (ESRS). This is the most significant recent development in sustainability reporting globally.

ISSB — IFRS Sustainability Disclosure Standards

The International Sustainability Standards Board (ISSB), established by the IFRS Foundation in 2021, issued its first two sustainability disclosure standards in 2023: IFRS S1 (General Requirements for Disclosure of Sustainability-related Financial Information) and IFRS S2 (Climate-related Disclosures). These aim to create a global baseline for sustainability reporting comparable to how IFRS created global accounting standards.

Integrated Reporting (<IR>) Framework

The International Integrated Reporting Council (IIRC) <IR> Framework encourages companies to produce a single integrated report connecting financial and non-financial performance across six capitals: financial, manufactured, intellectual, human, social/relationship, and natural. This moves beyond traditional financial statements to present a holistic picture of how value is created over time.

Mark Allocation — Part B

Marks	Criteria
(a) 5	At least five distinct user groups identified and named; each briefly described with the nature of their relationship to the company explained (not just listed).
(b) 5	Specific information needs matched to specific user groups; goes beyond generic “they want to know if the company is doing well” – identifies specific metrics or types of information relevant to each user.
(c) 7	Balanced assessment: acknowledges where financial statements do meet user needs (financial users) and where they fall short (non-financial users, forward-looking information); specific improvements suggested; reference to Young (2006) or equivalent critical perspective earns additional marks.
(d) 8	At least two recent developments correctly identified and explained (e.g. CSRD, ISSB/IFRS S1 & S2, <IR> Framework, GRI Standards); dates/timelines broadly correct; explanation of what each development requires and why it represents an advancement over traditional financial reporting.

QUESTION 3 TOTAL — 30 MARKS

Tubby Hayes — Bad Debts & Provision

Total: 30 marks

This question tests the preparation of ledger accounts and journal entries for a bad debt write-off and a change in the provision for bad debts, along with the accounting concept underlying the use of provisions.

Parts in this Question

Part	Requirement	Marks
(a)	Show the Bad Debts account, Provision for Bad Debts account, and relevant journal entries for the year ended 31 December 2025	25
(b)	Comment on the main accounting concept applied in using a provision for bad debts	5

Question 4(a)

25 marks

Show the Bad Debts account, the Provision for Bad Debts account and the relevant journal entries (along with any relevant workings) for the year ended 31 December 2025.

Full Model Answer

Step 1: Key workings

Item	Amount (€)
Trade receivables at 31 Dec 2025 (before write-off)	255,000
Less: Bad debt written off during 2025	(5,000)
Trade receivables after write-off	250,000
Required provision (5% × 250,000)	12,500
Opening provision (brought forward from 31 Dec 2024)	(10,000)
Increase in provision required	2,500

Step 2: Journal entries

Journal Entry	DR (€)	CR (€)
DR Bad Debts expense	5,000	
CR Trade Receivables		5,000
<i>To write off bad debt of customer gone bankrupt</i>		
DR Bad Debts expense (increase in provision)	2,500	
CR Provision for Bad Debts		2,500
<i>To increase provision from €10,000 to €12,500 (5% × €250,000)</i>		

Step 3: Ledger accounts

Bad Debts Account			
Date / Item	DR (€)	Date / Item	CR (€)
Trade Receivables (write-off)	5,000	Provision for Bad Debts (increase)	2,500
		SOPL (transfer, balance)	2,500
	5,000		5,000

Provision for Bad Debts Account			
Date / Item	DR (€)	Date / Item	CR (€)
		Balance b/d (opening)	10,000
		Bad Debts expense (increase)	2,500
Balance c/d (closing)	12,500		
	12,500		12,500
		Balance b/d	12,500

SOPL impact: Total bad debt expense charged to SOPL = €5,000 (write-off) + €2,500 (increase in provision) = **€7,500**. SOFP presentation: Trade receivables €250,000 less provision €12,500 = **net receivables €237,500**.

Mark Allocation — Part (a)

Marks	Criteria
22-25	Correct workings ($5\% \times 250,000 = 12,500$ provision after write-off); both journal entries correct with narrations; Bad Debts account correctly balanced; Provision account correctly showing opening balance, increase, and closing balance; SOPL impact noted.
16-21	Most elements correct; one journal or one ledger account with minor error; provision increase calculation correct; own-figure rule applied.
10-15	Correct overall framework (write-off separate from provision movement); some errors in calculation or ledger account presentation.
5-9	Some understanding; bad debt write-off journalised correctly but provision movement incorrectly calculated or omitted; ledger accounts partially correct.
0-4	No meaningful attempt or fundamental misunderstanding of write-off vs provision distinction.

Question 4(b)**5 marks**

Comment briefly on the main accounting concept(s) that is being applied in terms of a provision for bad debts.

Full Model Answer**Prudence Concept**

The primary concept underlying a provision for bad debts is **Prudence**. Prudence requires that assets should not be overstated and that potential losses should be recognised as soon as they can be reasonably anticipated, even before they are certain. By maintaining a provision against trade receivables that may not be collected, Tubby Hayes is ensuring that the net receivables figure in the SOFP (here €237,500) represents a conservative and realistic estimate of the cash that is expected to be received, rather than the gross amount of €250,000 which may not all be collectable.

Matching (Accruals) Concept

The Matching Concept also applies: the potential bad debt loss is recognised in the same period as the related revenue was recognised. When credit sales were made to customers, the revenue was recognised immediately; the provision ensures that the potential cost of those credit sales (non-collection risk) is also recognised in the same or a subsequent period, matching the cost to the economic reality of the receivables position.

Mark Allocation — Part (b)

Marks	Criteria
5	Prudence concept correctly identified and clearly explained in the context of the provision (not overstating assets; recognising anticipated losses); Matching concept also identified as a supporting concept; explanation goes beyond just naming the concept to explaining its application.
3-4	Prudence concept correctly identified and explained; second concept mentioned but not fully developed.
2	Prudence identified but with only a basic explanation of what it means in this context.
1	A relevant concept named without adequate explanation of its application to provisions.
0	No meaningful attempt.

QUESTION 4 TOTAL — 30 MARKS